states. Take Maharashtra: launching a manufacturing unit in the alco-beverages sector requires 99 licences, 35 of which have to be periodically renewed. Karnataka has 60 Acts, including central and state labour legislations, which mandate constant compliances—monthly, quarterly, half-yearly and annual. "Compliance is a big challenge," says a frustrated B.C. Prabhakar, president of the Karnataka Employers Association.

Getting permissions and licences is not easy either, as they require a person to physically visit the respective authority with a duly filled form and relevant documents for submission. Vikram Annappa, MD at Aequs INFRA, which offers built-to-suit industrial infrastructure, says, "On an average, you need a minimum runway of one year to start a business, as India still needs to digitise approvals and permit systems, while too many agencies are expected to work together. This is a huge opportunity cost to an entrepreneur, who loses out on revenue, and to the government, which loses out on GST revenue. It is also an opportunity loss in the global market." In contrast, in Vietnam, one of India's prime global competitors, locals get an industrial licence in less than a month and foreigners within two months.

"Compliances inflate operating costs and make doing business more onerous and frustrating, suppressing entrepreneurial momentum"

– NAUSHAD FORBES
Co-chairman, Forbes Marshall





MANDAR DEODHAR

Even more alarming in India is the threat of imprisonment for non-compliance. A 2022 report by the Observer Research Foundation (ORF) and TeamLease RegTech documented that of the 69,233 compliances that businesses have to meet, 26,134, or 38 per cent, carry imprisonment clauses. All this creates a very oppressive environment for industry to function while leaving the system open to the common Indian viruses of arbitrary power and corruption.

The Land Tangle

In India, land falls under the state list, meaning individual state governments devise the laws, regulations and land-related policies. This decentralised control leads to significant differences in land acquisition processes, land-use policies, zoning laws and property taxation across states. Further, land acquisition for industrial purposes is regulated by the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement, or LARR, Act, 2013. This legislation is meant to ensure fair compensation, but the social impact assessments and consent requirements it calls for usually turn into a dead weight, especially for private projects. In addition, factories must obtain a factory licence and comply with the provisions of the Factories Act, 1948.

A major problem that businesses face is the paucity of land segregated for industrial use by the government, and difficulty in acquiring land directly from the farmers. Even with government-acquired land, farmer agitations and stay orders from courts are frequent. To pacify farmers, governments keep hiking the market price of land. It can go up to even four times, according to Vinod Karwa, owner of speciality chemicals company Victor Colour Coating and aerospace and defence gear manufacturer Sanauto Engineers (India).

So, if land price in the Industrial Model Townships